

# Blockchain Basics

Blockchain is a way of storing data that makes it difficult or impossible for the system to be altered, hacked, or otherwise manipulated. It is a type of distributed ledger that distributes and copies transactions among the network of computers involved. Let's take a quick look at all that it entails.



**B**lockchain technology is a system for storing public transactional records, also known as blocks or 'chains', across multiple databases that are linked by peer-to-peer nodes. Termed as a 'digital ledger' this storage method ensures transaction authenticity through the owner's digital signature, offering protection against fraud. Consequently, the data in the digital ledger is extremely secure. In simpler terms, the digital ledger can be likened to a Google spreadsheet shared among many computers connected to a network, where transactional records are kept in accordance with actual purchases. The data can be seen by anyone, but nobody can alter it, which is an intriguing aspect.

## Blockchain 1.0 (cryptocurrency)

Spearheaded by Hall Finley, Blockchain Version 1.0 emerged in 2005 as the inaugural implementation of distributed ledger technology (DLT) within the realm of cryptocurrency.

This development facilitated financial transactions rooted in blockchain or DLT, with Bitcoin as its enabling vehicle. Notably, Version 1.0 is characterised by its permissionless nature, allowing any participant to

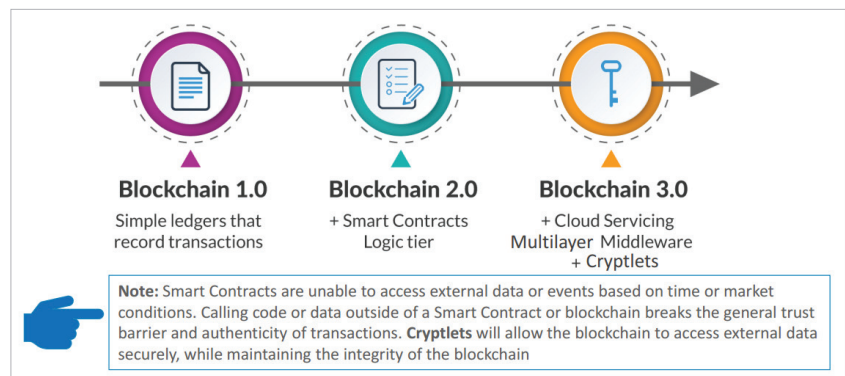


Figure 1: Evolution of blockchain